

QUAD ALPHA

2026

Invesment Research Challenge - HUB

VIETJET AVIATION JOINT STOCK COMPANY

Valuation date: April 14th 2026 | Ticker: VJC | Stock Exchange: HOSE

Current Price (14/04/2026): 166,800 VND
Shares Outstanding: 591,600,000
Market Capitalization: 98,680.8 billion VND

Target Price: VND192,254
Recommendation: BUY (15.26% Upside)

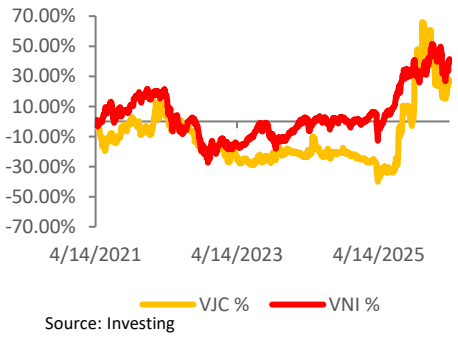
Sector: Industrials
Industry: Air transportation

MARKET PROFILE	April 14th 2026
Closing price (VND)	166,800
One-year target (VND)	192,254
Upside	15.26%
Shares Outstanding (mil)	591,611,334
Market Capitalization (VND bil)	98,681
Dividend Yield	0.0%
P/E	46.5
P/B	4.0
EPS TTM (VND)	4,291
Enterprise Value (VND bil)	153,996

VALUATION DATE	April 14th 2026	
	WEIGHT	PRICE
DCF Valuation	70%	192,741
Comps Valuation	30%	191,117
12-months Target Price (VND)	**192,254**	
Upside	15.26%	
Recommendation	**BUY**	

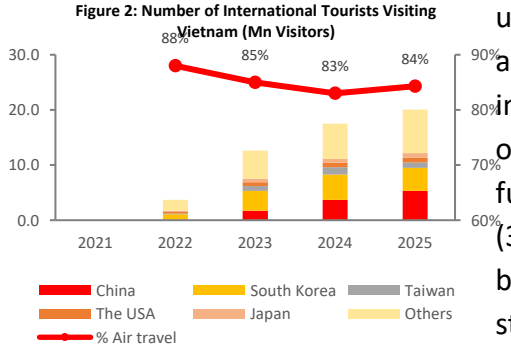
Source: VJC, Research team

Figure 1: Share Price Performance



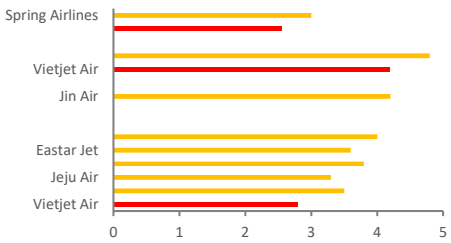
Source: Investing

Figure 2: Number of International Tourists Visiting Vietnam (Mn Visitors)



Source: Research team, FPTS, Vneconomy

Figure 3: Average Ticket Prices of LCCs in Core Markets (Mn VND) - 2025



Source: Best Price, Aivivu

VJC: Positioned for Takeoff

EXECUTIVE SUMMARY

Vietjet Aviation Joint Stock Company (VJC) is Vietnam's leading low-cost airline, demonstrating strong post-pandemic recovery with net revenue reaching VND 82,093 billion in 2025. We initiate coverage with a **BUY** recommendation and a 12-month target price of VND 192,254, derived from a blended valuation of 70% DCF (FCFF) and 30% Comparable Company Analysis, implying an upside of 15.26% from the closing price of VND 166,800. Our positive outlook is supported by (1) robust earnings recovery driven by operating leverage, (2) a high-margin ancillary revenue model reducing reliance on ticket sales, and (3) ongoing fleet expansion and cost optimization enhancing long-term profitability.

INVESTMENT HIGHLIGHTS

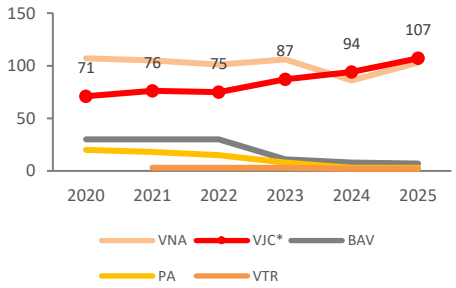
International Expansion as the Key Growth Driver

(1) International inbound demand to Vietnam has recovered sharply, with air travel accounting for 83–88% of total arrivals. By 2025, total international visitors have surpassed the 20 million mark, fueled by rebounds from core markets including China, South Korea, Japan and Taiwan. This resurgence directly amplifies demand for international routes, which offer more attractive yields than the maturing domestic segment.

(2) VJC is exceptionally positioned to capture this shift due to a structural cost advantage, with average ticket prices maintained well below regional LCC peers. As VJC has already captured a dominant share of Vietnam's low-cost aviation segment, the airline is increasingly expanding beyond its traditional budget niche into higher-yield international routes and service offerings positioned closer to the full-service segment, while maintaining a cost-efficient operating model rather than a premium strategy. This transition is reflected in its network expansion, adding 129 new routes during 2023–2025, alongside a strategic fleet upgrade through the integration of 19 NEO aircraft during 2026–2028, including a gradual expansion into wide-body operations to support longer-haul international connectivity. VJC is therefore projected to sustain a revenue CAGR of 10.9%, driven by higher route density, international exposure, and superior fuel efficiency.

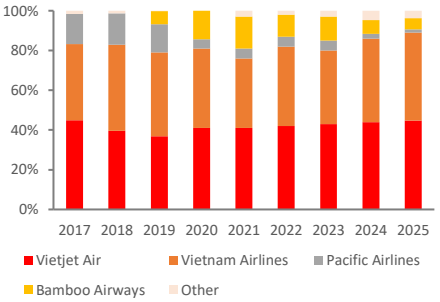
(3) Conversely, further gains within Vietnam's low-cost domestic segment may become challenging as competition intensifies and VJC's share has already stabilized at a high level of around 45%. As a result, the company is increasingly shifting its strategic focus toward international expansion and higher-yield passenger segments, where growth opportunities remain more scalable. Competition is also intensifying as smaller carriers—Bamboo Airways, Vietravel Airlines, and Pacific Airlines—undergo restructuring with VNA's backing after a period of underperformance. Furthermore, the entry of new players like Sunphuquoc, which commenced international operations by early 2026, signals a shift that makes domestic low-cost expansion less accretive relative to VJC's broader international growth avenue.

Figure 4: Number of Domestic Aircrafts



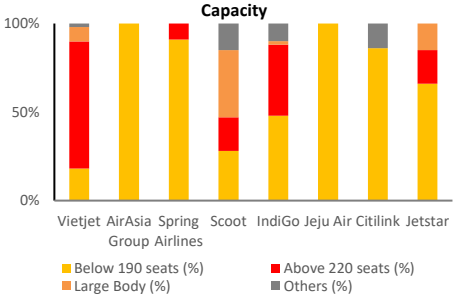
Source: SHS, Research team

Figure 5: Vietnam Aviation Market Share



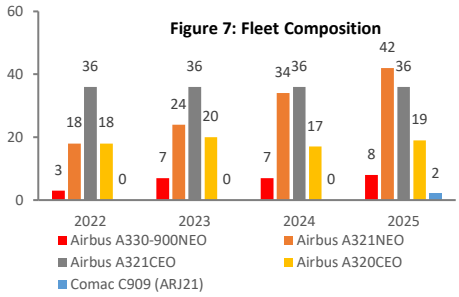
Source: Research team

Figure 6: Fleet Composition by Seating Capacity



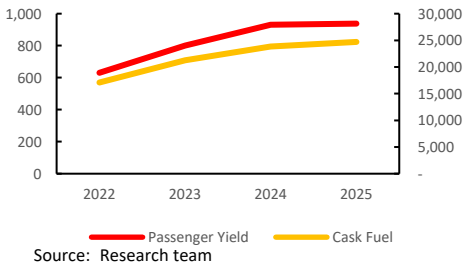
Source: VJC, Research team

Figure 7: Fleet Composition



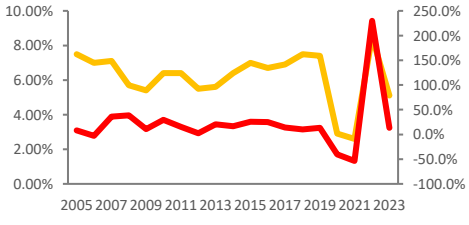
Source: VJC, Research team

Figure 8: Fuel Pass-through



Source: Research team

Figure 9: Economic Growth and Aviation Demand in Vietnam



Source: World Bank

INVESTMENT HIGHLIGHTS

Gross Margin Expansion through Efficiency and Pricing Power

(1) On the cost side, VJC is accelerating its transition to a modern, fuel-efficient fleet to optimize unit costs. The integration of new-generation aircraft, including the A321NEO and A330-900 NEO, is expected to deliver 15–25% fuel efficiency gains. Furthermore, VJC maintains a superior fleet configuration compared to regional LCCs, with over 80% of its fleet consisting of wide-body and high-capacity aircraft (over 220 seats), higher than peers like AirAsia or Jeju Air. This "young and dense" fleet strategy, backed by an order of 100 A321NEO and 20 A330-900NEO units through 2025, allows VJC to maximize seat capacity and achieve lower CASK than the industry average.

(2) On the revenue side, sustained demand and high load factors enable the airline to maintain pricing discipline, thereby retaining a meaningful share of cost savings instead of fully passing them through via lower fares. According to estimates from the IATA, a 10% increase in jet fuel prices typically translates into a 3–5% increase in ticket prices. In this context, Vietjet's strong domestic positioning and structural cost advantage - lower CASK than most peers, support a relatively high degree of cost pass-through. Based on our regression analysis of passenger yield against fuel cost per ASK, we estimate that approximately 40% of fuel cost increases are passed on to passengers.

Passenger Growth Supported by Vietnam's Strong Macro Tailwinds

(1) Vietnam's real GDP growth consistently outperforms regional peers, reaching 8% in 2025 and projected to remain robust compared to broader Asia-Pacific and Southeast Asian averages. Historical data reveals a strong correlation between economic expansion and aviation demand in Vietnam; globally, RPK (Revenue Passenger Kilometers) growth typically doubles the rate of GDP growth. With the government's target for double-digit GDP growth (10%) from 2026 onwards, the addressable market for aviation is set for massive expansion. This macroeconomic tailwind directly translates into higher disposable income, fueling growth in both business travel and tourism.

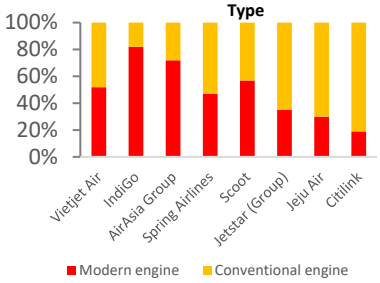
(2) There is a structural shift in Vietnam's transportation landscape, with air travel rapidly cannibalizing traditional railway market share. While railway transport has steadily declined to 0.36% in 2024, aviation's share has climbed from historical lows in the 1990s to 0.95% in 2024. This trend is driven by the deteriorating state of railway infrastructure and the time-cost inefficiency of long-distance ground travel. Coupled with a liberalized visa policy and open-skies agreements, these factors are creating a sustainable influx of domestic and international passengers, ensuring a resilient growth trajectory for VJC.

BUSINESS DESCRIPTION

Business Overall

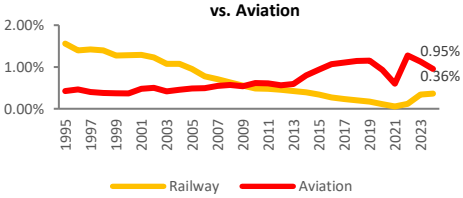
Founded in 2007 and commencing commercial operations in December 2011, Vietjet Aviation Joint Stock Company (VJC) is Vietnam's first privately owned low-cost carrier (LCC) and the country's largest airline by passenger volume. In 2025, VJC commanded approximately 45% domestic market share, narrowly leading Vietnam Airlines (44%), while the remainder was split among Bamboo Airways and other domestic peers (Figure 30). As of 2025, the Company transported approximately 28.2 million passengers across 254 routes (52 domestic, 202 international) (Figure 12), generating consolidated net revenue of VND 82,091 billion with net income of VND 2,123 billion.

Figure 10: Fleet Composition by Engine Type



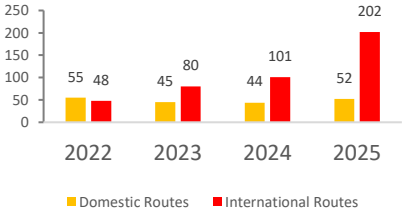
Source: FPTS, Research team

Figure 11: Passenger Transport Share: Railway vs. Aviation



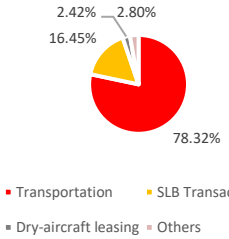
Source: GOS

Figure 12: Number of Routes in Operation



Source: VJC

Figure 13: Revenue Breakdown in 2025



Source: VJC, Research team

Figure 14: Transportation Revenue Breakdown in 2025

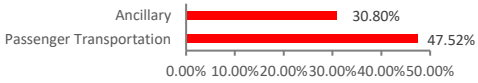
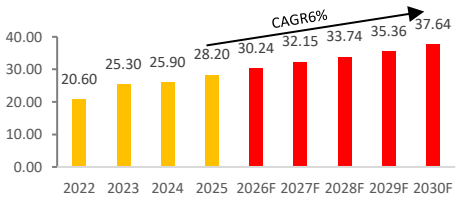
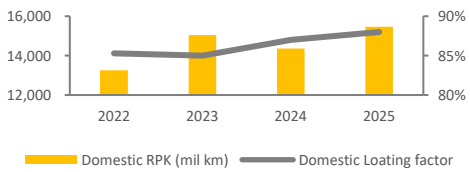


Figure 15: Number of passenger carried (million)



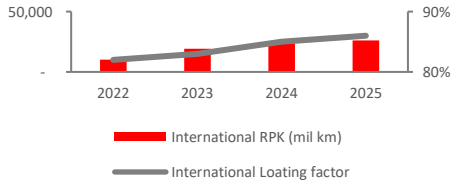
Source: VJC, Research team

Figure 16: Domestic Services



Source: VJC

Figure 17: International Services



Source: VJC

BUSINESS DESCRIPTION

Looking forward, VJC's business model evolves beyond its pure-LCC origins. The ongoing transition toward a hybrid carrier model positions the Company to capture higher-yielding international traffic while preserving its structural cost advantages on existing short and medium-haul routes.

Revenue Streams Diversification

VJC's revenue includes four business lines: (1) transportation, (2) SLB transactions, (3) dry-aircraft leasing, and (4) other income. In which, transportation revenue has passenger transportation and ancillary (1) Passenger transportation remains the core operation driven by rising passenger volumes and expanding route coverage by Vietnam's elongated geography (Figure 13). International operations have become the primary growth engine as rising regional travel demand and improving load factors strengthen revenue generation (Figure 16, 17). The Company maintains high load factors through flexible yield management, including tiered fare structures and dynamic pricing strategies. While passenger transportation remains the core revenue driver, ancillary services enhance profitability and reduce reliance on ticket pricing. SLB transactions represent an important financing mechanism. Under this mechanism, VJC purchases aircraft at an estimated 50–60% discount to list price from Airbus and Boeing and immediately sells them to lessors while retaining operating rights under multi-year leases (Figure 18). It allows VJC to expand and modernise its fleet while preserving balance sheet flexibility.

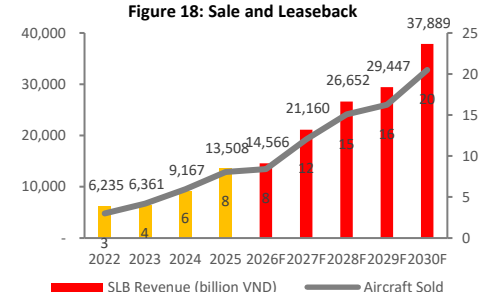
Successful and Evolving Implementation of the LCC-to-Hybrid Model

As of 2025, VJC's CASK remained above some peers but was offset by the highest aircraft utilization in the peer group versus an industry average of 11–12 hours per day (Figure 19). Rather than purely minimising unit costs, the Company focuses on maximising revenue generation per aircraft while maintaining cost competitiveness. This model is supported by four factors: (1) a young fuel-efficient fleet with CFM LEAP engines, (2) sustained high utilizations through dual-door stair boarding and lean crew structures, (3) government-supported airport charges at Vietnamese terminals, and (4) the VJAA, which internalises pilot and crew training to reduce costs and mitigate regional labour shortages.

Company Strategy

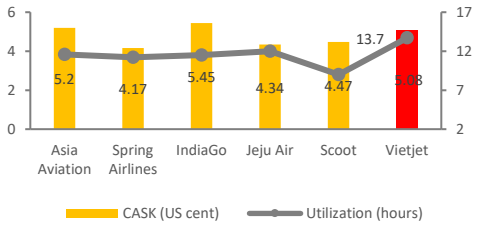
Under the "Fly the world – Reach new heights" strategy announced at the 2026 AGM, VJC is pursuing a three-pillar growth strategy focused on international expansion, fleet transformation, and ESG leadership. First, the airline is accelerating international network expansion (Figure 20), targeting Northeast future trans-Pacific routes to the U.S., and prospective European services supported by the A330neo fleet. This strategy is reinforced by continued fleet growth to match rising international aviation demand (Figure 7). Second, VJC is advancing its hybrid positioning through the introduction of A330-900neo wide-body aircraft, enabling economically viable long-haul operations while improving yield per ASK through the addition of Business Class cabins and greater exposure to corporate travel demand. Deliveries are expected to begin in 2026 and ramp up through 2030F. Third, VJC is strengthening its ESG profile through a green fleet transition, with all next-generation aircraft powered by more fuel-efficient CFM LEAP or Rolls-Royce Trent 7000 engines, supporting lower CO_2 emissions and reinforcing its recognition through awards such as the AirlineRatings Sustainability Award 2025.

Figure 18: Sale and Leaseback



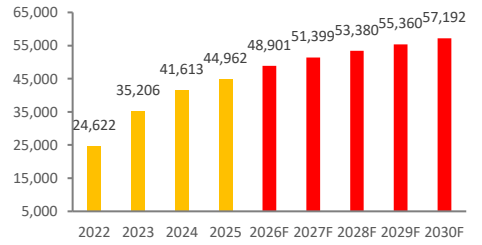
Source: Research team

Figure 19: CASK and Utilization of Asia–Pacific Region's LCCs (2025)



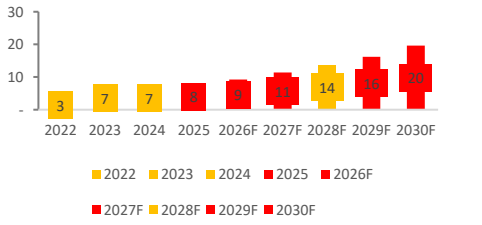
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Figure 20: Number of International flights (flights/year)



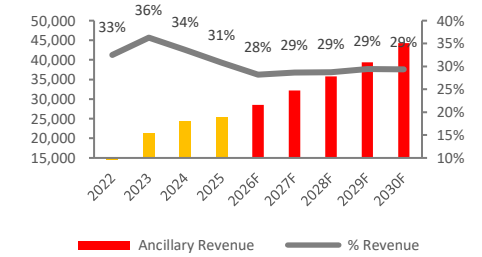
Source: Research team

Figure 21: A300-900NEO Fleet Expansion Strategy



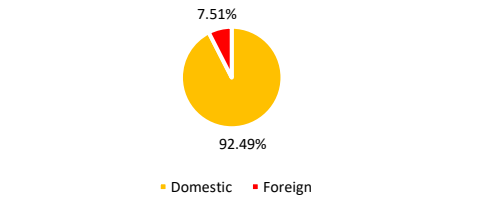
Source: Research team

Figure 22: Ancillary Revenue



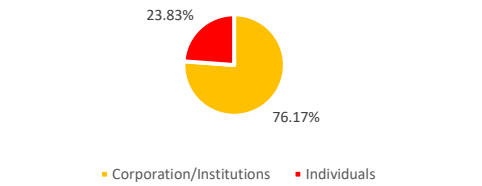
Source: Research team

Figure 23: Shareholder Structure



Source: VJC

Figure 24: Shareholder Structure



Source: VJC

BUSINESS DESCRIPTION

Corporate Shareholder Structure

The Company's ownership structure has remained broadly stable since its 2017 HOSE listing. Chairwoman and CEO Dr. Nguyen Thi Phuong Thao maintains a direct and indirect stake of approximately 40% through Sunny Sunflower Investment Company and affiliated holdings. Concentrated ownership facilitates rapid strategic decision-making which is a competitive advantage in VJC's fast-moving operating environment. As of 2025, the register remains predominantly domestic (92.49%) and institutional (76.17%), leaving significant headroom for foreign participation against the 49% regulatory limit. At the 2026 AGM, the Board approved a 30% stock dividend, signalling management's confidence in the Company's forward earnings trajectory (Figure 23,24).

INDUSTRY OVERVIEW & COMPETITIVE POSITIONING

A. Overview & Outlook

1. Macrofactor Overview: VN's Economic Growth Drives Aviation Demand

It is undeniable that the brilliant performance of the airline industry is tightly connected with the strong economic development. As the IMF has predicted, sustained by strong economic fundamentals, GDP growth of Vietnam will remain 2-3% higher than the Asia-Pacific average and Southeast Asia in the next 5 years (Figure 25). The IMF's growth forecast appears well supported, given the government's target of achieving double-digit economic growth. Concrete measures, including the plan to achieve a 100% public investment disbursement rate (Figure 26) and the expansion of the airport network, are expected to stimulate key sectors such as construction, materials, logistics, retail, and tourism. Therefore, we project domestic air passenger traffic to grow at a CAGR of approximately 9% (Figure 27).

2. Industry Analysis

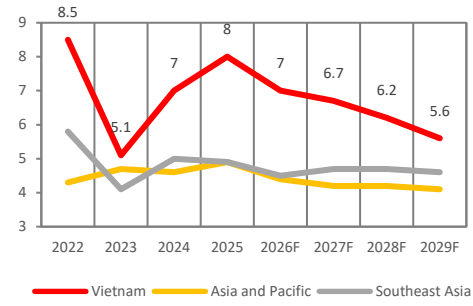
i) International Arrivals to Vietnam

VN is expected to become the 8th largest air passenger market by 2025, recording the fastest growth in the region with a 121% increase over 2014–2024. International air passenger traffic reached a record high of over 21 million in 2025, up 20.4% YoY. Notably, China recorded a outperformance South Korea to become VN's largest inbound market. This growth was driven by (1) the restoration and expansion of direct flight routes between countries, and (2) improvements in visa policies, including the introduction & an extension of e-visa validity from 30 to 90 days, and an expansion of visa exemption coverage from 22 to 25 countries. In addition, We expect inbound passenger traffic to Vietnam to continue growing at a CAGR of nearly 8%, reaching around 30 million visitors by 2030, with air travel accounting for over 80% of total arrival.

ii) Stable Oil Prices Support Cost Structure

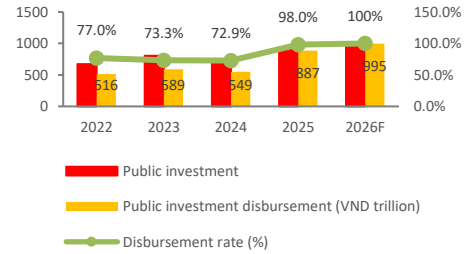
According to BMI 's base-case scenario, Brent oil prices are expected to fluctuate in the range of USD 75–90/barrel in 2026, reflecting substantial escalation risks, as regional oil and gas infrastructure could be targeted and transportation through the Strait of Hormuz may be nearly halted. However, we still see that negotiations could take effect and lead to an early, mutually beneficial agreement among the involved parties. We forecast that Brent prices will return to pre-conflict levels by 2029 (a 10-year cycle from 2019), reaching around USD 65–70/barrel, with crack spread return to 15 USD/barrel.

Figure 25: Real GDP Growth Rate



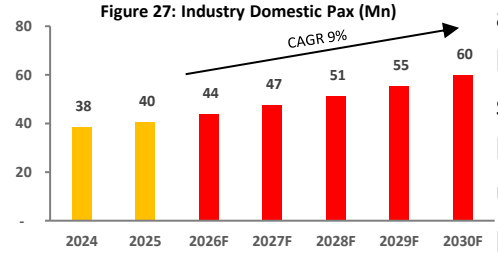
Source: IMF, Vietnam-briefing

Figure 26: Vietnam Public Investment Capital



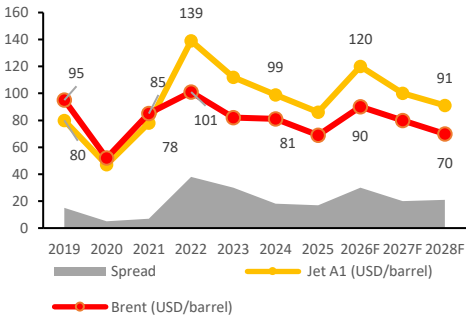
Source: baochinhphu

Figure 27: Industry Domestic Pax (Mn)



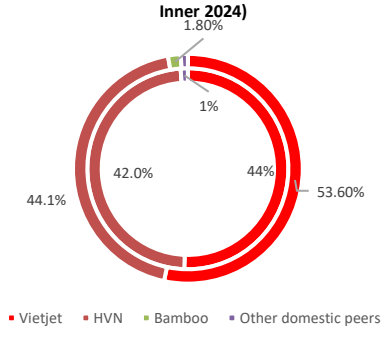
Source: Research team

Figure 28: Jet A1 Price & Brent Oil Price



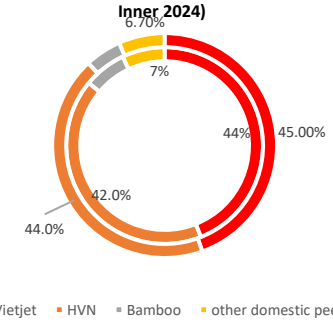
Source: SHS

Figure 29: International Share % (Outer 2025, Inner 2024)



Source: VJC

Figure 30: Domestic Share% (Outer 2025, Inner 2024)



Source: VJC

B. Competitive Advantage

1. The Fastest and Leading LCC in Vietnam

Since 2016, the airline has surpassed Vietnam Airlines in domestic market share, establishing a leading position within the low-cost segment. Historically, Pacific Airlines (majority-owned by Vietnam Airlines) served as the primary LCC competitor. However, the airline suspended operations in March 2024 as part of a financial restructuring process, significantly reducing competitive intensity in the segment. Other players such as Vietravel Airlines operate on a smaller scale and do not fully optimize cost structures in line with a pure LCC model. Therefore, it can be argued that Vietjet currently dominates the LCC segment in Vietnam, supported by clear advantages in scale, cost efficiency, and network coverage, while still competing with full-service carriers at the broader industry level in both international and domestic areas (Figure 29,30).

2. One of The Best Cost Management Airlines in the Region

VJC maintains a relatively low fuel cost per available seat kilometer (CASK ex-fuel/fuel per ASK) compared to its low-cost carrier peers. This fuel cost advantage is driven by several factors: (1) VJC primarily operates aircraft with high seating capacity; (2) a relatively young fleet compared to other LCCs, supported by continuous fleet expansion with newer-generation aircraft; (3) a longer average stage length, second only to Scoot; and (4) high aircraft utilization, with average block hours reaching 13.7 hours/day. From a long-term perspective, we believe the company will continue to lower its costs by renewing its fleet, increasing aircraft utilization, operating in-house staff training

INVESTMENT SUMMARY

International Expansion as the Primary Growth Engine

VietJet's shift toward international markets is supported by a clear structural backdrop: intra-Asia travel has led the global aviation recovery, with Asia-Pacific passenger traffic already exceeding pre-COVID levels in several key corridors. Vietnam has emerged as one of the fastest-recovering destinations in the region, with international arrivals surpassing 20 million and air travel consistently accounting for ~85% of inbound flows, reinforcing aviation as the primary channel for capturing tourism growth. In this context, VietJet's strategy of rapidly scaling international capacity—particularly across underserved and secondary city-pairs, e.g. in India, Australia, and Northeast Asia —allows the airline to tap into incremental demand while avoiding direct competition on saturated trunk routes. This approach not only supports faster load factor ramp-up in early-stage routes but also aligns with broader LCC expansion patterns in Asia. By contrast, the domestic market is showing clear signs of maturity, with VJC's market share stabilizing around the mid-40% range and limited headroom for further expansion amid intensifying competition, reinforcing international operations as the more scalable growth driver.

Margin Expansion Driven by Cost Advantages and Operating Discipline

On the profitability side, VietJet benefits from a cost structure that remains competitive within the regional LCC landscape, where unit cost efficiency is primarily driven by fuel burn and seat density. The airline's ongoing fleet modernization—anchored by next-generation narrow-body aircraft—can deliver fuel savings in the range of ~15–20%, while high-density configurations enable better fixed cost absorption per seat. At the same time, ancillary revenue has become an increasingly important earnings lever across the LCC model, typically

contributing 20–30% of total revenue for leading carriers in Asia, helping diversify income streams beyond base fares. While airlines generally face limited pricing power, a study suggests that only ~30–50% of fuel cost increases are passed through to ticket prices, implying that cost leadership remains critical to margin protection. In this context, VietJet's ability to sustain high utilization, maintain competitive pricing, and capture ancillary revenue supports a gradual improvement in margins, positioning the airline to translate top-line international growth into more resilient earnings over time.

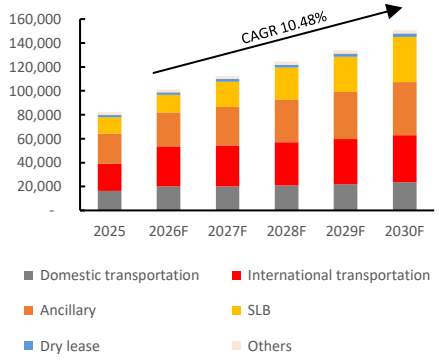
Macroeconomic Tailwinds & Structural Demand Shift

VJC's long-term growth outlook is supported by resilient macroeconomic fundamentals and evolving consumer behavior amid Vietnam's expanding middle class. The government's target of 10% GDP growth from 2026 could further accelerate aviation demand, with Vietnam's air passenger traffic historically growing at 1.5x–2.0x GDP growth. As a leading LCC, VJC is well-positioned to capture rising demand from first-time flyers, particularly as the middle class is projected to account for 40% of the population by 2030. In addition, VN's elongated geography and underdeveloped railway infrastructure continue to favor air travel for medium- and long-distance routes such as Hanoi–HCMC, where aviation offers substantial time-efficiency advantages over rail and road transport. Demand growth should also benefit from the liberalized e-visa regime and infrastructure expansion projects such as Long Thanh International Airport, supporting sustained passenger volume growth and resilient load factors over the long term.

VALUATION

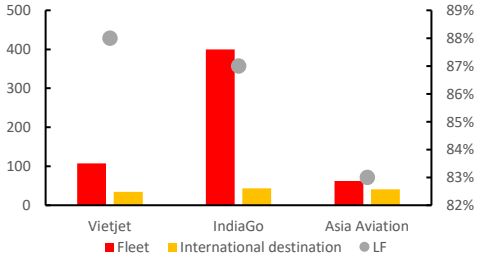
We apply two typical valuation methods to evaluate the intrinsic value of VJC, including Discounted Cash Flow (DCF) and Multiple Valuation. While the former explicitly considers and analyzes the fundamental drivers of business value, the latter is an expression of market value relative to a key statistic. VJC's revenue is divided into 5 main components: domestic & international passenger revenue, ancillary revenue, cargo transportation and SLB activities. VJC's total core revenue should grow at a CAGR of 7% during the period of 2026-2030, reaching VND107,201 bn in 2030. Sale and Lease-back Revenue will grow at a CAGR of 25.8%, staying at VND 37,889 Bn in 2030 from VND 14,556bn in 2026.

Figure 31: Revenue breakdown



Source: Research team

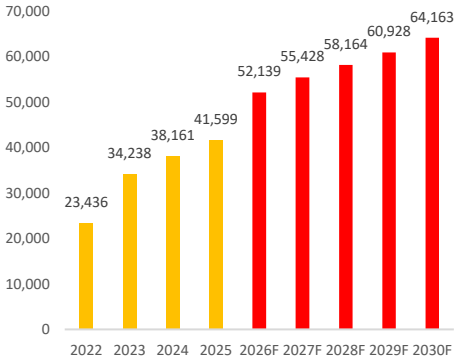
Figure 32: Peers' size comparison



Source: FPTS, Research team

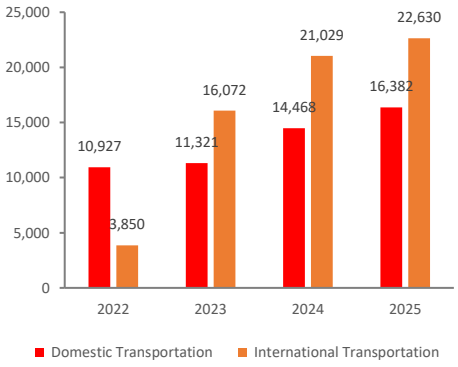
Transportation: The key driver of VJC's transportation revenue is the increase in demand for tourism both international and domestic. (1) Domestic transportation pax is projected to increase 6% YoY and 5.9% CAGR from 2026 to 2030. Fleet expansion, together with strong demand in line with GDP growth on key trunk routes - particularly HCMC-Hanoi and HCMC-Da Nang - supports higher flight frequency. Load factor has remained at 85-88% post-COVID; we conservatively assume 86% going forward to reflect capacity growth slightly outpacing demand; (2) International transportation pax is projected to increase 9.5% YoY and 5% CAGR from 2026 to 2030. Average seats are projected to increase from 260 in 2025 to 270.8 by 2030, supported by the continued shift toward A330-900neo (wide-body) and A321neo (narrow-body) aircraft on both regional and long-haul routes, in line with Vietjet's strategic priority of expanding international operations. Japan and South Korea are projected to be important markets and remain stable. Meanwhile, India and China are expected to see strong demand, supported by a rising middle class and increasing direct connectivity to Vietnam as reflected in the strong growth in 2025. Load factor is assumed to stabilize at 86% going forward, broadly in line with the domestic segment, reflecting solid demand absorption across both regional and long-haul routes;

Figure 33: Total RPK (Mn km)



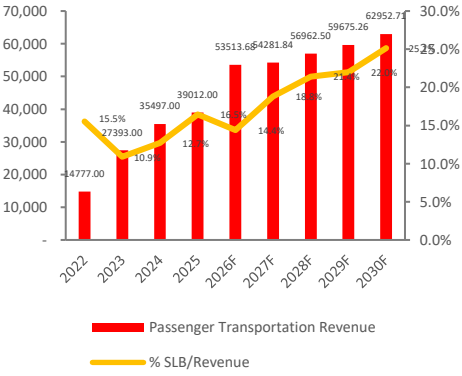
Source: Research team

Figure 34: Transportation Revenue (billion VND)



Source: VJC

Figure 35: SLB Revenue Share vs. International Revenue Growth



Source: Research team

VALUATION

(3) While VJC already leads in utilization and peer LCCs have not seen meaningful improvement despite expanding fleet, network, and international exposure, this suggests that the marginal impact of scale expansion on utilization has diminished. Instead, utilization appears increasingly constrained by operational factors such as slot availability and scheduling efficiency. Therefore, we project Vietjet to maintain a utilization level of around 13.7 over the next five years, reflecting its already highly optimized operations.

Ancillary: the core profit engine of VJC, driven by two components with distinct economics. (1) Passenger-related ancillaries are driven by two compounding factors - growth in total passengers carried and rising ancillary revenue per passenger. The number of passenger uplift is anchored to the expansion of flights, route network and the average number of seats in an aircraft. The surge in per-passenger ancillary is driven by higher attach rates for seat selection, in-flight retail, and baggage on longer international routes as A330neo deliveries begin. We model this growth followed U.S. CPI, a logical benchmark given that these services are initially priced in USD and aligned with international competitive standards. (2) Cargo revenue is modelled as the product of cargo volume and yield per tonne. Volume scales in line with passenger RPK expansion, as VJC utilizes belly-hold capacity on existing passenger aircraft rather than dedicated freighters, meaning cargo incremental COGS is effectively embedded within the passenger fleet's fuel and lease cost base **(Figure 22)**.

SLB: We expect VietJet's SLB activity to remain strong from 2026F, supported by its sizable orderbook of 100 A321neo aircraft and 20 A330-900 widebodies. As fleet deliveries accelerate to support international expansion, the number of aircraft available for SLB should increase, driving higher SLB revenue mainly through volume growth. We forecast SLB cost of sales at approximately VND7.03tn in 2026F. While SLB revenue contribution may decline slightly in 2026F due to stronger core business growth, it should gradually rise thereafter as deliveries ramp up. Margins are expected to remain broadly stable, supported by VietJet's ability to acquire aircraft at significant discounts (often ~50% to list prices), alongside fleet modernization through A321neo and A330-900 aircraft. Overall, we view SLB as a volume-driven capital recycling mechanism supporting international expansion while maintaining an asset-light model.

Operating expense: Accordingly, we forecast passenger yield to increase by 9.4% in 2026, driven by higher fuel prices amid heightened Middle East geopolitical tensions. In 2027, as fuel prices ease, we project yield to decline by 4.5%, reflecting partial and lagged pass-through. From 2028 onward, we assume yield remains broadly stable. This is supported by sustained demand and high load factors, which limit the need for fare discounting, as well as asymmetric pricing behavior, where downside pass-through is typically lower than upside pass-through. Other CASK will increase the inflation of the USA because a significant portion of Vietjet's cost base is USD-denominated, driven by aircraft leasing, fuel, and maintenance expenses linked to global suppliers.

Cost of equity: We calculate cost of equity applying the CAPM of 9.88% by using: (1)The Vietnam 10-year government bond rate of 4.36% is used as the risk-free rate, (2) the market risk premium is defined to be 8.12% (Damodaran). (3) Beta of 0.68 by using the slope between VN-Index and VJC in the period of 5 year weekly.

VALUATION

Methods	Weights	Price
FCFF	70%	192,741
Multiples Method	30%	191,117
Price	192,254 VND	

Methods	Weights
EV/Revenue	45%
EV/EBITDA	20%
P/B	20%
P/E	15%

Terminal Growth Rate: In practice, terminal growth rates for mature airline companies are often set in the range of 2–4%, consistent with widely adopted market conventions for long-term valuation of capital-intensive industries. Given VJC's expected scale and maturity beyond the explicit forecast horizon, we adopt a 2% perpetual growth rate, positioning our assumption at the lower end of the range to maintain a prudent and conservative valuation approach. We further conduct sensitivity analysis on the terminal growth rate to assess its impact on valuation outcomes. In addition, the terminal WACC is adjusted to reflect a more stable capital structure and reduced business risk as the company matures. **Multiples valuation:** we applied a Comparable Company Analysis (weighted at 30% in the blended valuation) using four market multiples across six regional LCC and hybrid carrier peers. The peer group based on the following criteria: (1) Size: Firms with small and mid-market capitalization only; (2) Business Model: Low-Cost Carriers; (3) Profitability: Firms with same ROA and ROE pattern; (4) Geographic Location: Mostly in Asia-Pacific region. The multi-method weighting as EV/Revenue, EV/EBITDA, P/B and P/E. We deliberately overweighted EV/Revenue given its greater stability across airline investment cycles, where compressed near-term EBITDA and earnings multiples can systematically distort valuation during heavy fleet expansion phases. On a trailing EV/Revenue basis, VJC trades at 2.1x against a peer median of 1.9x (excluding VJC), a 9.96% premium that is justified by VJC's superior domestic market position, faster revenue growth trajectory, and unique SLB profit stream unavailable to most peers. EV/EBITDA, by contrast, stands at 27.3x versus a peer median of 8.0x - a significant divergence attributable to VJC's temporarily compressed EBITDA margin during the peak fleet investment cycle rather than structural overvaluation; accordingly, the team applies the peer median of 8.0x rather than VJC's current trading multiple, yielding a standalone implied value of VND 40,622 per share on a TTM basis. Blending across three forecast horizons which are TTM FY2024 (VND 176,440), Current FY2025F (VND 188,159), and Next FY2026F (VND 208,752), and applying equal weighting yields a Comps blended value of VND 191,117 per share.

FINANCIAL ANALYSIS

A. Profitability

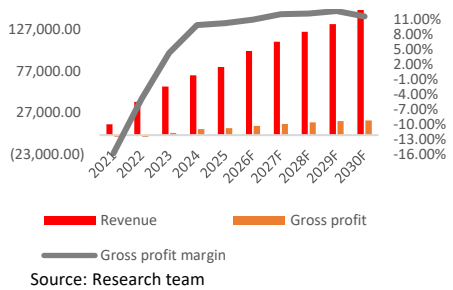
1. The Crisis Disruption and Early Recovery Phase (2021-2022)

During the pandemic period, VJC's gross profitability remained under heavy pressure as travel restrictions severely reduced revenue while the airline still had to bear substantial fixed costs, particularly aircraft leasing and maintenance expenses. Although revenue recovered strongly in 2022 (more than threefold compared to 2021) following the reopening of domestic and international travel, gross profit remained negative due to elevated fuel prices, high leasing costs, and operational inefficiencies during the early recovery stage.

2. The Post-Pandemic Recovery and Expansion Phase(2023-2025)

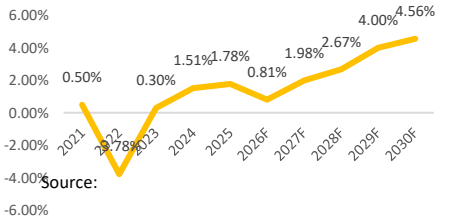
From 2023 to 2025, VJC entered a strong recovery phase as passenger demand normalized and international operations expanded. Profitability improved significantly thanks to operating leverage, stronger load factors, and the deployment of newer fuel-efficient aircraft such as the A321neo and A330-900neo, allowing revenue growth to outpace operating costs.

Figure 36: Gross Profit Margin of VJC



Source: Research team

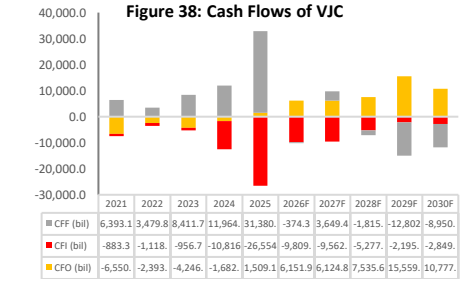
Figure 37: Return on Equity (ROE)



Source:

Source: Research team

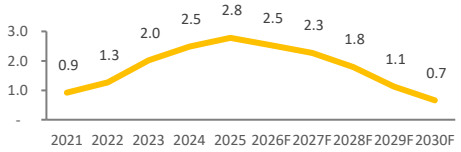
Figure 38: Cash Flows of VJC



	2021	2022	2023	2024	2025	2026F	2027F	2028F	2029F	2030F
CFF (bil)	6,393.1	3,479.8	8,411.7	11,964.	31,380.	-374.3	3,649.4	-1,815.	-12,802	-8,950.
CFI (bil)	-883.3	-1,118.	-956.7	-10,816	-26,554	-9,809.	-9,562.	-5,277.	-2,195.	-2,849.
CFO (bil)	-6,550.	-2,393.	-4,246.	-1,682.	1,509.1	6,151.9	6,124.8	7,535.6	15,559.	10,777.

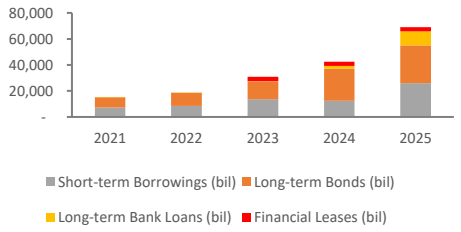
Source: Research team

Figure 39: Debt-to-Equity Ratio



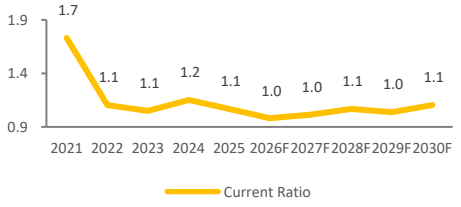
Source: Research team

Figure 40: Capital Structure of VJC



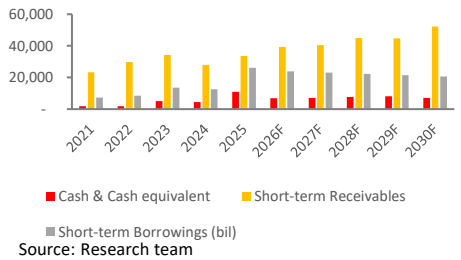
Source: Research team

Figure 41: Current Ratio



Source: Research team

Figure 42: Liquidity Position: Cash, Receivables, and Short-term Borrowings



Source: Research team

FINANCIAL ANALYSIS

3. Onward Structural Margin Expansion (2026)

GPM is projected to expand steadily from 11.02% in 2026 to 11.66% in 2030 as A330neo wide-body deliveries shift the revenue mix toward higher-yielding long-haul and Business Class segments, while fixed costs are spread across a materially larger ASK base, scaling gross profit from VND 11,143 billion to VND 17,574 billion over the period.

4. Return on Equity (ROE)

Consequently, the ROE profile mirrors this two-phase recovery. In 2021, ROE remained near zero, reflecting a survival mode with minimal profitability. It turned negative in 2022 as cost pressures, particularly fuel and leasing, outpaced the initial revenue rebound. From 2023 to 2025, ROE recovered alongside improving gross margins and operating leverage, as earnings growth accelerated and asset utilization improved. In 2026, we expect ROE to decline to 0.81% due to the burden of interest expenses arising from aircraft pre-delivery deposits and related borrowings, before recovering as interest obligations are gradually reduced and accelerating to 4.56% by 2030 **(Figure 37)**.

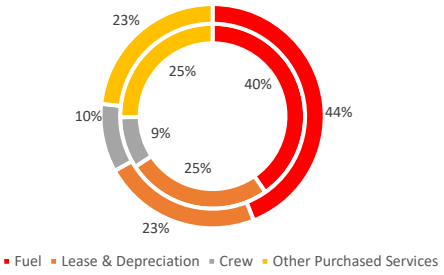
B. Cash flow & Capital Expenditures: Funding for Fleet Expansion

VJC's cash flow profile reflects an airline in an ultra-high growth phase, prioritising long-term expansion over short-term Free Cash Flow. CFO remained weak during 2021–2024 due to margin pressure and high working capital requirements, but is projected to recover strongly from 2026 onward, supported by higher-margin international operations and the A330neo fleet. CFI increased significantly from 2024 as VJC accelerated aircraft acquisitions and PDP for its Airbus backlog. Although investment outflows remain substantial, part of the pressure is offset by SLB transactions, which help recycle capital and maintain fleet flexibility. To finance this expansion cycle, VJC relied heavily on CFF, mainly through long-term debt. However, as operating cash flow strengthens after 2026, the company is expected to gradually reduce leverage and transition toward a more self-funded growth model **(Figure 38)**.

C. Capital structure (Debt/Equity)

Between 2021 and 2025, Vietjet's capital structure shifts heavily toward debt. VJC's Debt-to-Equity ratio peaks in 2025 due to aggressive debt-funded fleet expansion, significantly raising interest pressure and financial risk. From 2026 onward, the ratio is projected to decline as stabilized earnings strengthen the equity base. However, the airline's true burden remains higher than reported, as headline figures do not fully capture substantial off-balance sheet operating lease obligations. **Dual payment pressure from debt and aircraft lease obligations:** VJC faces a compounding financial burden as aggressive debt-funded expansion meets non-negotiable lease obligations. This "dual pressure" forces the airline to simultaneously service interest-heavy borrowings and fixed rental costs, a strain further intensified by massive PDP for future aircraft **(Figure 41, 42)**. Managing these internal and external obligations requires a highly flexible cash flow mechanism to mitigate default risks amid volatile operating costs.

Figure 43: Operating Cost 2025 vs. 2026F



Source: Research team

INVESTMENT RISK

Rising jet fuel costs

Fuel cost is a major cost driver for VietJet, accounting for ~40% of operating costs in 2025. Jet fuel prices are driven not only by Brent crude oil but also by the Jet-A1 crack spread, which reflects refining margins and regional supply–demand conditions. Recently, escalating Middle East tensions and disruptions around the Strait of Hormuz - a key route for 20–25% of global oil and jet fuel trade - have pushed up both crude prices and refining spreads. In Asia, supply constraints at major hubs, which is Singapore, combined with limited refining capacity and inventory drawdowns, have further widened Jet-A1 spreads. Scenario analysis indicates that a USD 5 increase in the Jet-A1 spread alone can drive an approximate ~6% decline in VJC's target price, underscoring the airline's high sensitivity to fuel market conditions.

Mitigation: diversified fuel suppliers, selective fuel hedging, partial cost pass-through via ticket prices and fuel surcharges, and fleet modernization, with A321NEO aircraft reducing fuel consumption by approximately 15–20%.

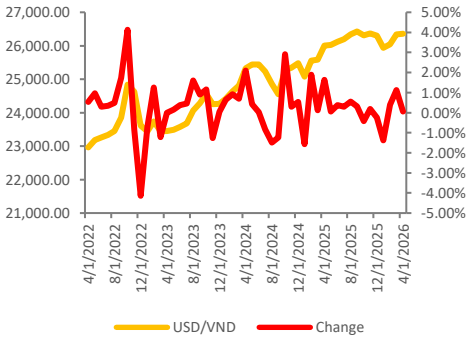
Aircraft delivery delays constraining fleet expansion

VietJet's growth depends heavily on timely aircraft deliveries from Airbus and Boeing. Delivery delays could constrain fleet expansion, reduce passenger revenue, and defer income from SLB transactions. Under the base case, fleet growth is projected at 15% in 2026 versus 10% under delay scenarios, implying an estimated ~23% impact on target price. Ongoing industry-wide supply chain constraints and elevated order backlogs make this a persistent risk.

Mitigation: delivery flexibility negotiations with Airbus, short-term leasing arrangements, aligning route expansion with actual fleet availability, and adjusting SLB timing to manage cash flow impacts.

USD exposure

Figure 44: USD/VND 04/2022 - 04/2026



Source: Research team

Foreign exchange risk is a key driver of VietJet's earnings, as major costs—including aircraft purchases, maintenance, and part of debt—are USD-denominated while revenues are mainly in VND. Expected USD/VND depreciation of around 2.5–3% in 2026 could increase operating and financing costs, although pressure may ease relative to 2025. Given VietJet's large USD exposure, a +/-2% FX movement could lead to an estimated -23% or +21% change in target price.

Mitigation. VietJet mitigates this risk by increasing USD-linked revenues through SLB activities and international routes, using FX derivatives for short-term hedging, aligning debt and cash flow currency structures, and phasing aircraft payments to reduce timing mismatches.

ESG

We apply MSCI's ESG framework and CFA governance scorecard to ensure a structured assessment. (1) VietJet's environmental impact remains high due to the carbon-intensive nature of aviation and rapid expansion. However, fleet modernization (A320/A321neo with ~15–20% lower fuel burn), fuel optimization programs, SAF adoption, and alignment with IATA Net Zero 2050 and TCFD help mitigate emissions intensity; (2) VietJet invests heavily in workforce training through the VJAA and maintains a Safety Management System aligned with global standards. The company also engages in CSR initiatives and promotes workforce diversity, though rapid expansion may pressure workforce consistency; (3) VietJet has strengthened ESG disclosure, risk management, and information security through TCFD alignment and ISO 27001 certification. However, concentrated ownership and limited board independence may constrain oversight effectiveness relative to CFA best-practice standards.

APPENDIX 1: ABBREVIATIONS

BC – Business Class
CAPM – Capital Asset Pricing Model
CFF – Cash Flow from Financing Activities
CFI – Cash Flow from Investing Activities
CFO – Cash Flow from Operating Activities
FCF – Free Cash Flow
FCFF – Free Cash Flow to Firm
HCMC – Ho Chi Minh City
IATA – International Air Transport Association
LCC – Low-Cost Carrier
SLB – Sale-and-Leaseback
U.S. – United States
VJAA – Vietjet Aviation Academy

APPENDIX 2: FINANCIAL STATEMENTS

INCOME STATEMENT (IN VND BILLIONS)

	2021	2022	2023	2024	2025	2026F	2027F	2028F	2029F	2030F
I. Net Revenue	**12,874.92**	**40,141.86**	**58,340.62**	**72,045.29**	**82,092.95**	**101,122.94**	**112,436.98**	**124,428.30**	**133,840.98**	**150,697.83**
II. Cost of Goods Sold	(14,913.72)	(42,135.15)	(55,819.87)	(64,891.98)	(73,624.05)	(89,979.85)	(98,837.52)	(109,251.40)	(116,797.80)	(133,123.49)
III. Gross Profit	(2,038.80)	(1,993.29)	2,520.75	7,153.30	8,468.90	11,143.08	13,599.46	15,176.90	17,043.19	17,574.34
IV. SG&A Expenses	(973.49)	(1,470.80)	(3,049.44)	(3,992.63)	(4,538.07)	(5,493.25)	(6,184.80)	(6,827.34)	(7,325.52)	(8,268.76)
V. R&D Expenses										
VI. Other Revenue										
VII. Other Expenses										
VIII. Operating Income	**(3,012.29)**	**(3,464.08)**	**(528.69)**	**3,160.67**	**3,930.83**	**5,649.83**	**7,414.66**	**8,349.56**	**9,717.67**	**9,305.58**
IX. Financial Income	**3,990.50**	**2,246.22**	**2,955.03**	**1,990.85**	**2,604.28**	**2,629.09**	**2,898.20**	**3,115.11**	**3,308.13**	**3,565.57**
1. Interest Income	282.52	405.25	395.17	660.06	761.83	1,166.14	1,391.43	1,561.91	1,718.48	1,910.64
2. Investment Income	(37.68)	25.15	153.76	49.72	20.15	20.15	20.15	20.15	20.15	20.15
3. Other Financial Income	3,745.66	1,815.81	2,406.10	1,281.07	1,822.30	1,442.80	1,486.62	1,533.05	1,569.50	1,634.78
X. Financial Expenses	**(806.25)**	**(2,483.05)**	**(2,242.07)**	**(3,480.23)**	**(4,146.17)**	**(6,813.58)**	**(6,507.28)**	**(6,102.18)**	**(4,920.47)**	**(3,632.49)**
1. Interest Expense	(804.78)	(1,383.64)	(1,950.25)	(3,211.95)	(3,619.68)	(6,813.58)	(6,507.28)	(6,102.18)	(4,920.47)	(3,632.49)
2. Realized FX Gain/Loss	(31.27)	(601.12)	(39.32)	(533.71)	(485.52)					
3. Provision for Securities Impairment	255.00	(355.00)	3.55	925.22	1,190.04					
4. Other Financial Expenses	(225.20)	(143.29)	(256.04)	(659.79)	(1,231.01)					
XI. Other Income	**16.20**	**1,316.11**	**662.20**	**189.50**	**272.10**					
XII. Other Expenses	**(7.78)**	**(263.85)**	**(240.37)**	**(38.17)**	**(30.72)**					
XIII. EBIT	**985.16**	**(1,265.02)**	**2,556.36**	**5,034.57**	**6,250.01**	**8,278.92**	**10,312.86**	**11,464.67**	**13,025.80**	**12,871.15**
Depreciation Expense	(98.08)	(79.73)	(413.25)	(613.29)	(1,077.23)	(2,008.71)	(3,407.13)	(4,652.53)	(5,807.93)	(7,158.79)
XIV. EBITDA	**1,083.24**	**(1,185.28)**	**2,969.61**	**5,647.86**	**7,327.25**	**10,287.63**	**13,719.99**	**16,117.20**	**18,833.73**	**20,029.94**
XV. EBT (Earnings Before Tax)	**180.38**	**(2,648.66)**	**606.10**	**1,822.62**	**2,630.33**	**1,465.35**	**3,805.58**	**5,362.50**	**8,105.33**	**9,238.66**
XVI. Corporate Income Tax	(14.03)	(172.10)	(3.22)	(11.37)	(40.42)	(293.07)	(761.12)	(1,072.50)	(1,621.07)	(1,847.73)
XVII. Deferred Corporate Income Tax	(86.69)	558.79	(371.47)	(407.24)	(466.48)					
XVIII. NI (Net Income)	**79.66**	**(2,261.97)**	**231.41**	**1,404.00**	**2,123.43**	**1,172.28**	**3,044.46**	**4,290.00**	**6,484.26**	**7,390.93**

BALANCE SHEET (IN VND BILLIONS)

	2021	2022	2023	2024	2025	2026F	2027F	2028F	2029F	2030F
A. CURRENT ASSETS	**26,866.73**	**33,587.47**	**40,826.97**	**38,577.51**	**49,719.15**	**52,804.82**	**55,076.65**	**60,951.20**	**62,088.65**	**70,033.96**
I. Cash and cash equivalents	**1,868.25**	**1,858.26**	**5,050.74**	**4,558.98**	**10,986.58**	**6,955.20**	**7,167.42**	**7,610.01**	**8,171.92**	**7,150.34**
II. Short-term investments	**859.48**	**687.78**	**613.34**	**3,825.83**	**2,697.57**	**3,448.79**	**3,885.00**	**4,347.32**	**4,710.23**	**5,360.14**
III. Receivables	**23,261.09**	**29,729.80**	**34,243.07**	**27,945.46**	**33,547.33**	**39,330.39**	**40,517.41**	**44,961.71**	**44,734.59**	**52,251.72**
1. Short-term trade receivables	11,452.45	12,402.31	12,316.75	11,364.96	13,684.61	16,790.79	16,632.25	19,843.99	18,841.56	24,097.00
2. Short-term prepayments to suppliers	100.11	1,626.23	1,778.87	769.37	1,874.09	2,157.25	2,055.38	2,589.86	2,695.88	2,975.62
3. Periodic contributions for maintenance of leased aircraft	2,417.74	1,927.80	2,044.49	4,104.94	7,571.02	9,160.94	10,381.38	11,130.79	12,021.25	13,639.01
4. Other short-term receivables from related parties	5,275.39	4,169.92	3,988.50	2,345.48	5,362.80	5,362.80	4,647.10	3,931.40	3,215.70	2,500.00
5. Short-term loan receivables	657.00	657.00	457.00	1,633.71	1,724.17	1,736.35	2,280.58	2,424.55	2,540.27	2,951.09
6. Other short-term receivables (transfers, cooperation, settlements, …)	3,358.41	8,946.55	13,657.46	7,954.36	3,483.98	4,291.60	4,771.76	5,280.66	5,680.13	6,395.53
IV. Inventories	**811.25**	**982.72**	**703.38**	**2,005.44**	**2,194.10**	**2,711.72**	**3,114.06**	**3,591.83**	**3,999.92**	**4,741.38**
V. Other current assets	**66.66**	**328.92**	**216.43**	**241.80**	**293.57**	**358.72**	**392.76**	**440.33**	**471.98**	**530.38**
B. NON-CURRENT ASSETS	**24,786.97**	**34,449.49**	**46,098.45**	**60,737.75**	**89,671.86**	**96,739.85**	**102,446.58**	**102,612.99**	**98,642.08**	**93,680.42**
I. Long-term receivables	**16,889.29**	**21,238.15**	**26,305.73**	**35,105.70**	**28,355.82**	**32,687.39**	**35,899.09**	**38,255.96**	**40,553.68**	**44,292.36**
1. Long-term trade receivables	-	3,863.32	1,942.10	4,648.33	4,941.23	5,325.78	6,647.90	7,133.17	7,545.04	8,681.52
2. Long-term prepayments to suppliers	-	1,132.64	6,115.74	5,537.44	3,525.42	3,912.08	4,111.89	4,270.43	4,428.77	4,575.40
3. Periodic contributions to maintenance fund	7,095.85	9,261.66	10,921.77	12,563.93	10,523.50	11,514.13	12,290.95	12,864.40	13,462.59	14,275.36
4. Other long-term receivables from related parties	2,419.95	567.13	783.52	4,823.28	1,332.50	1,332.50	1,332.50	1,332.50	1,332.50	1,332.50
5. Long-term loan receivables	789.65	868.22	874.77	921.64	899.55	1,305.98	1,374.17	1,497.05	1,658.20	1,840.64
6. Other long-term receivables (deposits, settlements, ..)	6,583.84	5,545.18	5,667.84	6,611.07	7,133.61	9,296.92	10,141.68	11,158.41	12,126.57	13,586.94
II. Fixed assets	**1,158.45**	**5,709.72**	**10,173.34**	**14,166.24**	**34,938.48**	**36,749.55**	**40,362.75**	**38,874.35**	**34,185.75**	**26,564.16**
1. Tangible assets	1,150.35	5,681.33	3,990.62	8,284.22	24,091.73	25,544.97	28,731.54	26,744.04	21,502.83	13,220.27
2. Intangible assets	8.10	28.39	47.30	55.69	5,329.48	5,956.04	6,651.42	7,419.25	8,240.61	9,170.31
3. Finance lease assets	-		-6,135.42	5,826.33	5,517.28	5,248.54	4,979.80	4,711.06	4,442.32	4,173.58
III. Construction in progress	**500.76**	**308.75**	**380.64**	**1,528.21**	**13,916.53**	**12,267.17**	**9,655.87**	**6,870.92**	**4,030.26**	**534.77**
IV. Investment property	-		--		--	-	-	-	-	-
V. Long-term investments	**149.42**	**149.42**	**149.42**	**149.42**	**149.42**	**149.42**	**298.83**	**298.83**	**298.83**	**298.83**
VI. Other long-term assets	**6,089.05**	**7,043.46**	**9,089.33**	**9,788.18**	**12,311.62**	**14,886.33**	**16,230.03**	**18,312.93**	**19,573.56**	**21,990.29**
VI. Goodwill	-		--		--	-	-	-	-	-
TOTAL ASSETS	**51,653.70**	**68,036.96**	**86,925.42**	**99,315.25**	**139,391.01**	**149,544.67**	**157,523.23**	**163,564.18**	**160,730.73**	**163,714.38**

BALANCE SHEET CONT. (IN VND BILLIONS)

	2021	2022	2023	2024	2025	2026F	2027F	2028F	2029F	2030F
C. LIABILITIES	34,799.49	53,138.71	72,672.28	82,196.54	114,581.83	123,563.21	128,497.31	130,248.26	120,930.55	116,523.27
I. Current liabilities	**15,522.18**	**30,417.32**	**38,861.48**	**33,506.38**	**46,604.74**	**53,800.32**	**54,311.56**	**57,018.34**	**59,775.88**	**63,393.64**
1. Short-term borrowings	7,320.07	8,549.90	13,553.79	12,460.11	26,056.14	23,895.99	23,122.58	22,263.32	21,536.38	20,611.04
2. Trade payables	3,241.43	9,659.94	8,805.30	6,194.94	4,769.47	6,942.27	7,748.87	8,718.21	9,472.81	11,002.60
3. Advances from customers	544.90	1,986.66	3,546.08	1,515.56	1,758.26	3,479.85	2,880.87	3,378.31	3,889.63	4,110.75
4. Taxes and amounts payable to the State	288.71	358.42	449.81	279.88	112.35	436.97	358.84	368.36	467.24	484.39
5. Accrued expenses	1,010.99	1,045.21	2,081.49	2,661.71	3,379.67	3,835.66	4,349.23	4,885.09	5,169.49	5,855.41
6. Unearned revenue	381.58	3,503.45	3,600.02	4,253.05	5,178.80	6,196.29	6,873.36	7,693.41	8,219.43	9,261.53
7. Other short-term payables	1,092.83	3,409.08	4,157.25	3,777.01	2,753.09	5,299.51	5,185.91	5,477.57	6,359.74	6,915.11
8. Provision for short-term payables	1,314.54	1,758.37	2,662.25	2,355.40	2,585.30	3,701.72	3,777.57	4,217.94	4,644.37	5,133.60
II. Long-term liabilities	**19,277.31**	**22,721.35**	**32,810.80**	**48,690.16**	**67,977.09**	**69,762.90**	**74,185.74**	**73,229.92**	**61,154.66**	**53,129.63**
1. Long-term borrowings	8,140.24	10,309.75	17,257.04	30,052.39	42,943.55	41,777.49	42,689.04	37,485.18	23,494.22	10,493.13
2. Long-term payables	-	-	-	-	-	-	-	-	-	-
3. Unemployment allowance	-	-	-	-	-	-	-	-	-	-
4. Other long-term payables	205.37	69.13	1.62	1,332.90	7,589.63	3,740.89	5,544.87	7,414.29	6,508.94	7,913.35
5. Provision for long-term payables	10,931.70	12,342.48	15,552.14	17,304.87	17,443.91	24,244.52	25,951.84	28,330.46	31,151.50	34,723.16
D. OWNERS' EQUITY	16,854.21	14,898.29	15,253.14	17,118.71	24,809.18	25,981.46	29,025.92	33,315.92	39,800.18	47,191.11
I. Owners' equity	**16,854.21**	**14,898.29**	**15,253.14**	**17,118.71**	**24,809.18**	**25,981.46**	**29,025.92**	**33,315.92**	**39,800.18**	**47,191.11**
1. Owners' contributed capital	5,416.11	5,416.11	5,416.11	5,416.11	5,916.11	7,690.95	7,690.95	7,690.95	7,690.95	7,690.95
2. Share premium	247.48	247.48	247.48	247.48	4,747.38	4,747.38	4,747.38	4,747.38	4,747.38	4,747.38
3. Other capital	-	-	-	-	-	-	-	-	-	-
4. Treasury shares	-	-	-	-	-	-	-	-	-	-
5. Foreign exchange differences	(110.73)	195.33	318.76	780.33	1,325.92	1,325.92	1,325.92	1,325.92	1,325.92	1,325.92
6. Retained earnings and reserves	11,281.43	9,018.93	9,249.52	10,652.69	12,775.22	12,172.66	15,217.13	19,507.12	25,991.39	33,382.31
7. Non-controlling interests	19.91	20.44	21.26	22.10	44.54	44.54	44.54	44.54	44.54	44.54
TOTAL RESOURCES	51,653.70	68,036.96	86,925.42	99,315.25	139,391.01	149,544.67	157,523.23	163,564.18	160,730.73	163,714.38

CASH FLOW STATEMENT (IN VND BILLIONS)

	2026F	2027F	2028F	2029F	2030F
Net Income	**1,172.28**	**3,044.46**	**4,290.00**	**6,484.26**	**7,390.93**
Adjustments for:					
- Depreciation of Fixed Assets	2,008.71	3,407.13	4,652.53	5,807.93	7,158.79
- Provision for Receivables/Inventory Impairment	16.00	81.71	(11.51)	20.67	46.31
- Provision for Securities Impairment	-	-	-	-	-
- (Gain)/Loss on FX Differences					
- (Gain)/Loss on Disposal of Fixed Assets		-	-	-	-
- Change in Deferred Income Tax Assets/Liabilities	(18.95)	11.93	(3.34)	(4.50)	1.96
- Change in Minority Interest and Goodwill	-	-	-	-	-
Net Cash Flow before Working Capital Changes	**3,178.03**	**6,545.23**	**8,927.68**	**12,308.36**	**14,598.00**
(Increase)/Decrease in Receivables	(5,799.06)	(1,268.72)	(4,432.79)	206.44	(7,563.44)
(Increase)/Decrease in Inventory	(517.62)	(402.34)	(477.77)	(408.10)	(741.46)
Increase/(Decrease) in Payables	5,692.50	1,320.12	2,832.22	2,175.22	3,496.07
(Increase)/Decrease in Other Current Assets	(65.15)	(34.05)	(47.57)	(31.65)	(58.40)
Increase/(Decrease) in Other Current Liabilities	3,663.23	(35.47)	733.82	1,309.26	1,047.03
Change in Working Capital	**2,973.90**	**(420.45)**	**(1,392.09)**	**3,251.17**	**(3,820.19)**
CASH FLOW FROM OPERATING ACTIVITIES (CFO)	**6,151.94**	**6,124.77**	**7,535.59**	**15,559.54**	**10,777.80**
(Increase)/Decrease in Other Long-term Assets	(2,555.77)	(1,355.62)	(2,079.56)	(1,256.13)	(2,418.70)
(Increase)/Decrease in Other Long-term Receivables	(4,331.57)	(3,211.70)	(2,356.87)	(2,297.72)	(3,738.69)
(Increase)/Decrease in Short-term Investments	(751.22)	(436.21)	(462.32)	(362.91)	(649.91)
(Increase)/Decrease in Long-term Investments	-	(149.42)	-	-	-
(Increase)/Decrease in Other Long-term Assets					
(Increase)/Decrease in Construction in Progress	-	-	-	-	-
(Purchase)/Disposal of Fixed Assets	(2,170.41)	(4,409.04)	(379.17)	1,721.33	3,958.29
CASH FLOW FROM INVESTING ACTIVITIES (CFI)	**(9,808.97)**	**(9,561.99)**	**(5,277.92)**	**(2,195.43)**	**(2,849.01)**
Increase/(Decrease) in Other Long-term Payables	2,951.87	3,511.30	4,248.04	1,915.69	4,976.07
Increase/(Decrease) in Short-term Borrowings	(2,160.16)	(773.41)	(859.26)	(726.94)	(925.35)
Increase/(Decrease) in Long-term Borrowings	(1,166.06)	911.55	(5,203.86)	(13,990.95)	(13,001.10)
Treasury Share Buyback	-	-	-	-	-
Proceeds from Share Issuance	-	-	-	-	-
Dividends Paid	-	-	-	-	-
CASH FLOW FROM FINANCING ACTIVITIES (CFF)	**(374.35)**	**3,649.44**	**(1,815.08)**	**(12,802.20)**	**(8,950.38)**
Net Cash Flow	**(4,031.38)**	**212.22**	**442.59**	**561.91**	**(1,021.58)**
Beginning Cash	**10,986.58**	**6,955.20**	**7,167.42**	**7,610.01**	**8,171.92**
Ending Cash	**6,955.20**	**7,167.42**	**7,610.01**	**8,171.92**	**7,150.34**

APPENDIX 3: FCFF SCHEDULE (IN VND BILLIONS)

	2026F	2027F	2028F	2029F	2030F
CFO	6,152	6,125	7,536	15,560	10,778
-Capex	(2,170)	(4,409)	(379)	1,721	3,958
+I(1-tax)	5,451	5,206	4,882	3,936	2,906
=FCFF	9,432	6,922	12,038	21,217	259,324
PV of FCFF	203,506				
-Debt	(65,673)				
Cash + Short-term					
+Investments	10,404				
=Equity value	148,236				
Number of outstanding					
/Shares	769,094,734				
=Share value (VND)	192,741				

APPENDIX 4: COST OF CAPITAL ESTIMATES

WACC	
Input	Rates
Risk-free rate	4.36%
Adjusted beta (5 years)	0.68
Equity risk premium	8.12%
Cost of equity	9.88%
Cost of debt	11%
Tax rate	20%
Expected D/E	66.7%
WACC	9.45%

Source: Aswath Damodaran, Investing

APPENDIX 5: VJC'S PASSENGER TRANSPORTATION REVENUE FORECAST

RPK = Loading factor *X* Flights *X* Average distance *X* average seat per aircraft

Flights = Days per year $X \frac{\text{Utilization}}{\text{Block hour per flight}}$ *X* Block hour per flight *X* number of crafts.

Here we assume utilization is 13.7

A. DOMESTIC PASSENGER TRANSPORTATION REVENUE

	2025	2026	2027	2028	2029	2030
Domestic Passenger Transport Revenue	**16,382**	**20,109**	**19,961**	**20,951**	**21,974**	**23,660**
Yield (VND/km)	1,059	1,226	1,145	1,145	1,145	1,145
% Yield Growth		*16%*	*-7%*			
RPK (million km)	15,470	16,396	17,438	18,304	19,197	20,670
% RPK Growth	*7.69%*	*5.99%*	*6.36%*	*4.96%*	*4.88%*	*7.67%*
Seats (average seats per aircraft)	211	213	215	218	220	223
Domestic flights (flights/year)	98,220	105,344	110,724	114,994	119,257	126,829
Load factor	88%	86.0%	86.0%	86.0%	86.0%	86.0%
Distance average (km)	850	850	850	850	850	850

Distance average used average: We estimate VJC's average domestic stage length at approximately 850 km, reflecting the high contribution from major trunk routes including Ho Chi Minh City–Hanoi and Ho Chi Minh City–Da Nang

B. INTERNATIONAL PASSENGER TRANSPORTATION REVENUE

	2025	2026	2027	2028	2029	2030
International Passenger Transport Revenue	**22,630**	**33,405**	**34,321**	**36,011**	**37,702**	**39,293**
Yield (VND/km)	866	934.58	903.43	903.43	903.43	903.43
% Ticket Price Growth		*7.91%*	*-3.33%*			
RPK (million km)	26,129	35,743	37,989	39,861	41,732	43,493
% Volume Growth	*7.69%*	*36.80%*	*6.28%*	*4.93%*	*4.69%*	*4.22%*
Average seats per aircraft	259	260	263	266	268	271
International flight (flights/year)	44,962	48,901	51,399	53,380	55,360	57,192
Load factor	86%	86.0%	86.0%	86.0%	86.0%	86.0%
Distance average (km)	2,613	3,265	3,265	3,265	3,265	3,265

2025			2026F			2027F		
Country	**Flight distribution by route (%)**	**Distance**	**Country**	**Flight distribution by route (%)**	**Distance**	**Country**	**Flight distribution by route (%)**	**Distance**
Thailand	9.7%	750	Thailand	9.7%	750	Thailand	5.0%	750
Singapore	6.9%	1100	Singapore	6.9%	1100	Singapore	6.0%	1100
Malaysia	4.0%	1200	Malaysia	4.0%	1200	Malaysia	5.0%	1200
Indonesia	2.0%	1900	Indonesia	2.0%	1900	Indonesia	1.0%	1900
Cambodia	2.0%	230	Cambodia	2.0%	230	Cambodia	0.5%	230
Laos	1.0%	1000	Laos	1.0%	1000	Laos	1.0%	1000
South Korea	24.5%	3500	South Korea	24.5%	3500	South Korea	24.5%	3500
Japan	10.0%	4300	Japan	10.0%	4300	Japan	10.0%	4300
Taiwan	6.8%	2200	Taiwan	6.8%	2200	Taiwan	5.0%	2200
China	5.0%	3300	China	8.7%	3300	China	10.0%	3300
Hong Kong	2.4%	1500	Hong Kong	2.4%	1500	Hong Kong	1.5%	1500
India	5.0%	4500	India	5.0%	4500	India	5.0%	4500
Kazakhstan	5.0%	4300	Kazakhstan	5.0%	4300	Kazakhstan	5.0%	4300
Australia	5.0%	6800	Australia	5.0%	6800	Australia	10.0%	6800
			Netherland, Germany	5.0%	9000	Netherland, Germany	10.0%	9000
			Myanmar	2.0%	1300	Myanmar	0.5%	1300

As the airline expands its network to more long-haul destinations, the flight mix is expected to gradually shift toward longer routes through 2030, driving an increase in average stage length and block hours per flight. Routes to China and Australia are expected to increase from 5 to 10% of total traffic going forward, while key markets including Japan, Korea and Taiwan, will continue to form the core of the international network, of 24.5%, 10% and 6.8% respectively.

APPENDIX 6: FLEET COMPOSITION AND FUNCTIONS

Aircraft Type	% Domestic	% International
Airbus A330-300 /900NEO	0%	100%
Airbus A321NEO	50%	50%
Airbus A321CEO	60%	40%
Airbus A320CEO	100%	0%
Comac C909 (ARJ21)	100%	0%

1. The Airbus A330-300 and A330-900neo are primarily deployed on long-haul routes, given their extended range and higher seating capacity.
2. The Airbus A321neo and Airbus A321ceo are used for both domestic and international routes. However, the A321neo offers superior fuel efficiency, making it more cost-effective for longer-haul operations, while the A321ceo is predominantly deployed on domestic routes, according to VJC's annual report. Similarly, the Airbus A320ceo is primarily utilized for domestic services.
3. The Comac C909, with a range of approximately 2,225–3,700 km, is well-suited for short- to medium-haul routes, particularly domestic connections between major cities and secondary destinations

APPENDIX 7: MULTIPLE VALUATIONS

	Trailing Year (2024)				
	EV/ Revenue	EV/ EBITDA	P/B	P/E	PEG
Max	3.4 x	27.3 x	5.3 x	64.4 x	4.1 x
Min	1.3 x	6.6 x	1.1 x	3.5	0.3
Median	2.1 x	8.7 x	2.0 x	9.3	0.9
Median (Excl. VJC)	**1.9 x**	**8.0 x**	**1.6 x**	**8.6**	**0.7**
Mean	2.1 x	11.8 x	2.2 x	17.6	1.3
Mean (Excl. VJC)	**2.1 x**	**9.3 x**	**1.7 x**	**9.8**	**0.9**
VJC	2.1 x	27.3 x	5.3 x	64.4	4.1
VJC vs. Median	10.0%	239.6%	222.2%	648.3%	519.6%
Fair Value VJC	320,770.18	40,621.81	90,589.42	39,008.98	47,113.95

Scarcity premium: 1.75x

Current Year (2025)					Next Year (2026)				
EV/ Revenue	EV/ EBITDA	P/B	P/E	PEG	EV/ Revenue	EV/ EBITDA	P/B	P/E	PEG
3.1 x	21.0 x	4.0 x	46.5 x	3.0	2.8 x	15.0 x	3.8 x	84.2 x	5.4
1.3 x	5.8 x	0.7 x	1.7 x	0.1	1.2 x	5.1 x	0.5 x	1.5 x	0.1
1.8 x	8.7 x	1.6 x	8.3 x	0.8	1.5 x	7.0 x	1.3 x	6.8 x	0.8
1.7 x	**8.1 x**	**1.4 x**	**8.0 x**	**0.7**	**1.5 x**	**6.9 x**	**1.2 x**	**6.2 x**	**0.6**
1.9 x	10.4 x	1.8 x	15.0 x	1.1	1.7 x	8.6 x	1.7 x	18.5 x	1.4
1.9 x	**8.6 x**	**1.5 x**	**9.7 x**	**0.8**	**1.7 x**	**7.5 x**	**1.3 x**	**7.6 x**	**0.7**
1.9 x	21.0 x	4.0 x	46.5 x	3.0	1.5 x	15.0 x	3.8 x	84.2 x	5.4
10.51%	160.54%	178.16%	484.58%	355.06%	-0.29%	116.39%	213.53%	1254.99%	863.71%
318,695.26	81,341.86	104,938.52	49,933.47	64,145.39	363,331.23	117,007.48	93,101.92	21,542.59	30,289.21

APPENDIX 8: OPERATING LEASE AND FINANCIAL LEASE

Criteria	Finance lease	Operating lease
Fundamental nature		
Definition	Transfers substantially all risks and rewards of ownership to the lessee	Does not transfer substantially all risks and rewards of ownership; more like a rental
Economic substance	Similar to a financed purchase of the asset	Temporary right to use the asset for a defined period
Ownership intent	Lessee typically intends to acquire or use the asset for most of its life	Lessee uses the asset temporarily; returns it with remaining useful life
Key characteristics		
Lease term	Covers the major part (≈75%+) of the asset's economic life	Significantly shorter than the asset's economic life
PV of payments	Approximates substantially all (≈90%+) of the asset's fair value	Significantly less than the asset's fair value
Ownership transfer	Often transfers at end of lease term	No transfer; asset returns to lessor
Purchase option	Bargain purchase option the lessee is reasonably certain to exercise	No purchase option, or option at fair market value
Specialized asset	Asset may be so specialized only the lessee can use it without major modification	Asset is general-purpose, easily re-leased to others
Risk allocation	Lessee bears maintenance, insurance, obsolescence, and residual value risk	Lessor retains maintenance obligations and residual value risk
Financial impact		
Balance sheet (lessee)	ROU asset + lease liability recognized (both IFRS 16 & ASC 842)	IFRS 16: same as finance lease (single model). ASC 842: also on balance sheet as ROU asset + liability
Income statement pattern	Front-loaded expense: higher total expense in early years (depreciation + interest)	IFRS 16: same front-loaded pattern. ASC 842: straight-line single lease expense
Cash flow statement	Principal → financing activities; interest → operating activities	IFRS 16: principal → financing; interest → operating or financing. ASC 842: all within operating activities
Key ratios affected	Increases leverage (D/E), lowers ROA, increases EBITDA	Under IFRS 16 — same impact as finance lease. Under ASC 842 — less impact on EBITDA

APPENDIX 9: SCENARIO RESULTS

Variable	Base Case	Best Case	Impact on Target Price (Best)	Worst Case	Impact on Target Price (Worst)
% Tăng trưởng giá tỷ giá	2.7%	0.7%	21.43%	4.7%	-22.96%
% Lãi suất	9.0%	7.0%	0.02%	11.0%	-0.02%
% Tăng trưởng đội tàu	15.0%	20.0%	31.82%	10.0%	-23.40%
Spread Jet A1 (USD/thùng)	30.00	25.00	5.84%	35.00	-5.87%

Base Case Target Price (VND/cp): ***192,254***

APPENDIX 10: RATIONALE FOR SCENARIOS

USD/VND exchange rate

The base-case USD/VND growth assumption of 2.7% reflects continued FX pressure in 2026 driven by persistent USD strength amid geopolitical uncertainty and a higher-for-longer Fed policy stance. However, VND depreciation is expected to moderate relative to 2025, supported by potential Vietnam market-upgrade expectations and improving foreign capital inflows. This assumption is also broadly aligned with the historical annualized USD/VND growth rate of 3.56% over the 2022–2026 period. The best-case (0.7%) and worst-case (4.7%) scenarios reflect easing versus intensifying external pressure on the VND, respectively, with the ±2ppt range calibrated based on historical FX volatility and recent macroeconomic fluctuations.

Interest rate

The base-case interest rate assumption of 9.0% reflects a relatively elevated funding environment in 2026, as strong credit demand and the SBV's priority on exchange rate stability and inflation control continue to limit the scope for aggressive monetary easing. The best-case (7.0%) scenario assumes easing domestic liquidity conditions and lower funding pressure, while the worst-case (11.0%) scenario reflects tighter liquidity and prolonged high-rate conditions. The ±2ppt range is calibrated based on historical fluctuations in Vietnam's lending rates during periods of macroeconomic adjustment. Although VJC benefits from funding support within the Sovico ecosystem, its large debt burden and ongoing fleet expansion continue to expose earnings to borrowing costs.

Fleet growth rate

During 2023–2025, VietJet's fleet growth rate fluctuated between 8–16% annually, while the company's annual reports guided for a long-term expansion pace of approximately 12% per year. However, based on the airline's aircraft order book with manufacturers and management guidance indicating the delivery of nearly 400 aircraft over the coming years, we believe fleet expansion could accelerate meaningfully as VJC scales capacity to capture international demand growth. Accordingly, we estimate a base-case fleet growth rate of 15% for 2026, with upside potential reaching 20% under a more aggressive delivery and deployment schedule. The best- and worst-case scenarios therefore assume a ±5ppt deviation from the base case.

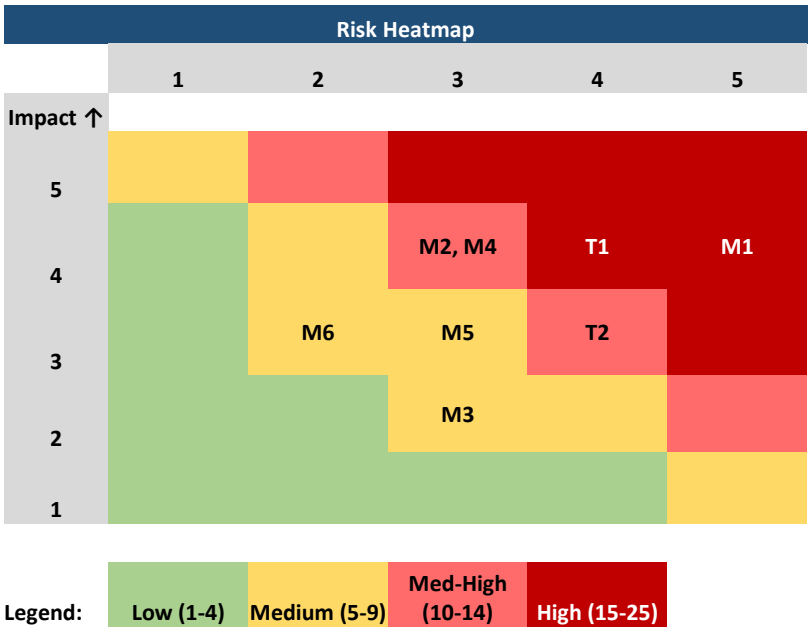
Jet A1 crack spread (USD/bbl)

The aviation industry experienced a severe supply shock in 2022 following the Russia–Ukraine conflict, driving the Jet A1 crack spread to nearly USD38/bbl before easing to around USD17/bbl by 2025 as supply conditions gradually normalized. However, renewed geopolitical tensions stemming from the Iran–U.S. conflict in early 2026 have reintroduced fuel supply concerns, with crude oil prices surpassing USD100/bbl. We expect the crack spread to widen again in 2026, though not to the extreme levels observed in 2022 due to relatively more diversified global supply chains, higher strategic reserves, and improved refinery adaptation capacity. As such, our base-case assumption is USD30/bbl, with best- and worst-case scenarios of USD25/bbl and USD35/bbl, respectively.

APPENDIX 11: LEGAL DISPUTE WITH FWA

The JOLCO-related dispute exposes Vietjet to potential contingent liabilities, with the case initially linked to overdue payments of approximately USD 7.4 million, alongside possible additional compensation, swap break costs, and legal expenses as determined under the court's quantum rulings. While the Company has already fulfilled certain payment obligations and is actively pursuing an appeal based on reasonable legal grounds, the final financial impact remains uncertain. The presence of conditional funding support from major shareholders helps mitigate near-term liquidity pressure; however, the case still represents a residual tail risk, as any unfavorable outcome could lead to incremental cash outflows and constrain financial flexibility going forward.

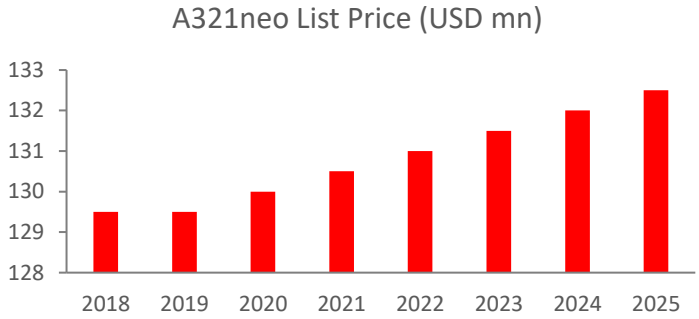
Risk	Type risk	Impact	Probability
Fuel price	M1	4	5
Aircraft price	M2	4	3
Competition	M3	2	3
Aircraft delivery delay	M4	4	3
Airport infrastructure	M5	3	3
Lease obligation	M6	3	2
FX risk	T1	4	4
Interest rate	T2	3	4



M2. Aircraft price

The commercial aircraft manufacturing market is highly concentrated, with Airbus, Boeing, and ATR dominating global supply. VietJet mainly operates Airbus A320/A321 aircraft, making it dependent on Airbus pricing and delivery conditions. Aircraft and spare-part prices continue to rise due to supply chain constraints, higher input costs, and limited competition. This could pressure margins if industry demand or aircraft values weaken.

Mitigation: large-volume orders and long-term partnerships with Airbus, sale-and-leaseback transactions to reduce upfront capital pressure, a standardized A320/A321 fleet that lowers operating complexity, and manufacturer support programs that help contain lifecycle costs.



M3. Intensifying competition in both domestic and international markets under ASEAN open skies

Vietnam's aviation market is growing rapidly, but competition is intensifying across both domestic and international segments. Domestically, the recovery of Bamboo Airways, Pacific Airlines, Vietravel Airlines, and new entrants like Sun Phu Quoc Airways is increasing fare pressure, especially on major trunk routes. Internationally, VietJet faces strong competition from carriers from the Korean market, Indian Market… with pressure expected to rise further as it expands into long-haul markets from 2026.

Mitigation: shifting toward a hybrid model through premium offerings and higher ancillary revenue contribution along with young, fuel-efficient fleet and dense regional network support cost advantages.

M5. Airport capacity bottlenecks and execution risks at ACV-controlled infrastructure

Vietnam's airport infrastructure remains a structural risk due to congestion, ATC constraints, and Long Thanh execution delays, which may affect VJC's expansion plans.

Mitigation: fleet and schedule optimization, ground handling partnerships, and co-investment in airport projects.

M6. High fixed lease obligations exposing earnings to demand shocks

Aircraft leasing is a major fixed cost for VietJet, with lease-related expenses of approximately VND14,500 billion, accounting for around 25% of operating costs in 2025. As most lease contracts are long-term and non-cancellable, unexpected demand shocks could pressure cash flow and profitability, as seen during the COVID-19 period.

Mitigation: short-term aircraft subleasing, negotiating delivery deferrals

APPENDIX 13: COMPETITOR ASSESSMENT

Ticker	Company	Country	Market Cap (in Bil)	Enterp. Value (in B)	Share Price	Dil. Shares
VJC	Vietjet Air	Viet Nam	98,681	153,996	166,800	591,611,334
AAV TB	ASIA AVIATION	Thailand	11,423	47,394	889	12,850,000,000
CEB PM	CEBU AIR INC	Philippines	8,417	73,603	13,735	613,550,000
601021 CH	Spring Airlines Co Ltf	China	157,535	228,480	179,690	876,704,324
PGSUS TI	Pegasus Airlines	Turkey	67,725	188,325	135,450	500,000,000
AIRARABI UH	Air Arabia	UAE	75,855	90,855	16,250	4,667,000,000
CPA US	Copa Holdings	Panama	127,250	153,500	3,080,250	41,300,000

APPENDIX 14: SWOT ANALYSIS FOR VJC

Strengths

- Market leader in Vietnam — ~45% domestic market share, largest LCC in the country by passenger volume
- Aggressive fleet expansion — 22 new aircraft delivered in 2025; orders for 100 A321neo + 20 A330neo wide-body; among top 10 global airlines by order book
- Strong ancillary revenue model — Ancillary income = 41% of air transport revenue (9M 2025), well above LCC industry average, reducing ticket price dependency
- Robust revenue growth — Consolidated revenue VND 82T ($3.16B) in FY2025, +14% YoY; Q4 revenue surged 47% YoY
- Operational excellence — 99.72% technical reliability, 86% seat utilization; recognized as World's Safest Airlines & Best Ultra Low-Cost Airline
- Self-handling capabilities — Ground self-service at Noi Bai & Tan Son Nhat airports, reducing third-party dependency and costs
- Training ecosystem — VJAA trained 162,000 individuals in 2025 (+30% YoY), securing pipeline of pilots, engineers, and ground staff
- MRO investment — Building own maintenance center at Long Thanh Airport, reducing reliance on overseas MRO providers

Weaknesses

- High leverage & capital intensity — D/E ratio of 1.76; massive aircraft orders require heavy financing, increasing financial risk
- Thin net margins — Despite revenue of $3.16B, net profit ~$80M implies margin of ~2.5%, leaving little buffer against shocks
- Reliance on sale-leaseback profits — A significant portion of historical profits have come from aircraft sale-leaseback transactions, not core operations
- Legal liabilities — UK High Court ruling of $181.8M over pandemic-era lease defaults (FW Aviation case, Apr 2025); appeal pending
- Limited brand premium — Ultra-low-cost positioning constrains ability to charge higher fares; brand perception challenges vs. full-service carriers
- Rising maintenance costs ahead — Fleet aging will increase MRO expenses as aircraft exit warranty periods
- Concentrated ownership — Heavy reliance on chairwoman Nguyen Thi Phuong Thao's leadership and personal network raises key-person risk
- Immature long-haul operations — No proven track record on long-haul routes (Europe/US) which require different operational expertise

Opportunities

- Vietnam aviation boom — Market projected to grow 8.1% annually through 2030; CAAV targets 95M passengers in 2026 (+13%)
- Long Thanh International Airport — New mega-hub (2026 opening) with preferential positioning for Vietjet; designed for intercontinental flights
- Long-haul expansion to Europe & US — A330neo fleet enables direct routes to high-yield markets; strategy "Fly the world — Reach new heights"
- India market penetration — New routes to Hyderabad, Bengaluru complement existing Delhi/Mumbai/Ahmedabad; India's huge outbound travel growth
- International aviation finance center — Pioneering HCMC-based aviation finance center in partnership with Vietnam International Financial Center
- Digital & AI transformation — AI virtual assistant Amy, biometric check-in, multi-channel platforms driving ancillary revenue and efficiency
- Cargo & logistics diversification — Wide-body fleet opens belly cargo capacity on long-haul routes
- Vietjet Thailand & regional subsidiaries — First Boeing aircraft delivered Dec 2025; platform for Southeast Asian network expansion

Threats

- Fuel price volatility — Jet fuel remains the largest cost component; geopolitical tensions (Middle East, US-Iran) can cause sudden price spikes
- Intensifying competition — Vietnam Airlines, Bamboo Airways, Vietravel Airlines domestically; AirAsia, Lion Air, Cebu Pacific regionally
- FX risk (VND depreciation) — Lease payments, fuel, and aircraft purchases denominated in USD while revenues are largely in VND
- Airport infrastructure constraints — Noi Bai and Tan Son Nhat severely overcrowded (operating 20%+ above design capacity)
- Global economic slowdown — Trade wars, tariff escalation, and macro uncertainty may suppress travel demand
- Regulatory & geopolitical risks — Foreign ownership cap at 34%; pandemic-era disputes highlight cross-border legal complexity
- Aircraft delivery delays — Global supply chain bottlenecks at Airbus/Boeing could delay fleet expansion plans
- Rising interest rates — Higher borrowing costs amplified by high leverage position and massive capex commitments

APPENDIX 15: COMPETITOR ASSESSMENT

Board of Directors			
Name	**Position**	**Education**	**Experience**
Dr. Nguyen Thi Phuong Thao	Chairwoman of the Board (since Apr 2023); Founder & President	PhD in Economic Cybernetics — Mendeleyev University, Russia; BS in Financial Credit Management & BS in Labor Economics — Plekhanov Russian University of Economics	Founder of Vietjet (2007); President & CEO of Sovico Group; Vice President of HDBank. First self-made woman billionaire in Southeast Asia (Forbes). Awarded France's Legion of Honor. Net worth ~$4.2B (2026).
Dr. Dinh Viet Phuong	First Vice Chairman of the Board (since Apr 2026); former CEO (2023–2026)	PhD — Moscow State Academy of Water Transport; MBA — CFVG, France; BE — Vietnam Maritime University	24+ years in executive leadership. Former VP of Sovico; Deputy GM & BOD member at Vietnam Motors Industry Corporation (Ministry of Transport); BOD member of Petechim — Petrovietnam. Led Vietjet through post-COVID recovery.
Mme. Nguyen Thanh Ha	Vice Chairwoman of the Board; Co-founder	MS in Economics — University of Hanoi; BS in Physics — University of Hanoi; BS — National Economics University	Co-founder of Vietjet. Former Deputy Head of Civil Aviation Authority of Vietnam (CAAV). Former Head of Planning & Investment Dept at Vietnam Airlines. Chairwoman of Vietjet BOD from 2007–2023.
Mr. Nguyen Anh Tuan	Board Member	BA in International Relations — Diplomatic Academy of Vietnam; MSc Economics — Colorado Institute of Economics (US); MBA — University of Hawaii; MBA — Asian Institute of Technology (AIT)	Extensive experience in oil & gas services, engineering, and insurance. Former Chairman of PetroVietnam Insurance JSC. Currently Vice Chairman of HDI Insurance Company (Sovico Group).
Dr. Philipp Rösler	Independent Board Member (since Jun 2025)	Dr. med. (Medicine) — Germany; Certified private pilot	Former Vice Chancellor of Germany (2011–2013); Former Minister of Health & Minister of Economics and Technology. Former Managing Director of World Economic Forum (WEF). Held positions at Siemens, Deutsche Bank, Lufthansa. Vietnamese-born, raised in Germany.
Executive Management Team			
Name	**Position**	**Education**	**Experience**
Mr. Nguyen Thanh Son	Managing Director / CEO (since Jul 2025)	MBA — Ho Chi Minh City University of Economics; BA in Aviation Economics	30+ years in aviation. Joined Vietjet from inception. Built the airline's commercial, marketing & distribution strategy. Former Chief Commercial Officer (Apr 2018). Shaped Vietjet's innovative revenue model.
Mme. Ho Ngoc Yen Phuong	Vice President & Chief Financial Officer (CFO)	MS in International Finance & Accounting — Swinburne University, Australia; BS in International Economics — Foreign Trade University	30+ years in finance leadership. Former Head of Finance at PetroVietnam Group; Deputy GM of PVDrilling; CFO of SK-Sfone; Financial Controller at Holcim Vietnam. Selected for Harvard Global Linkage Top 20 CEO Conversations (2014). Top 10 Global CFO 2023 by CEO Insights.
Mr. Michael Hickey	Chief Operating Officer (COO)	MSc in Air Safety Management — London University	30+ years at Ryanair — from 6 aircraft to 400+ fleet, Europe's largest airline. Specialist in air engineering and flight operations. Appointed COO of Vietjet (Jun 2022). Brings deep LCC operational expertise to the group.
Mr. Luong The Phuc	Vice President	Not publicly disclosed	Long-tenured VP at Vietjet overseeing multiple operational domains. Active in training development at Vietjet Aviation Academy (VJAA).
Mr. To Viet Thang	Standing Vice President — Operations, Safety, Quality & Security	MS in Aircraft Engineering — Technical University of the Czech Republic	Nearly 30 years in aviation industry. Held senior leadership positions at leading Vietnamese airlines. Leads safe operations, service quality improvement & security for Vietjet's entire fleet

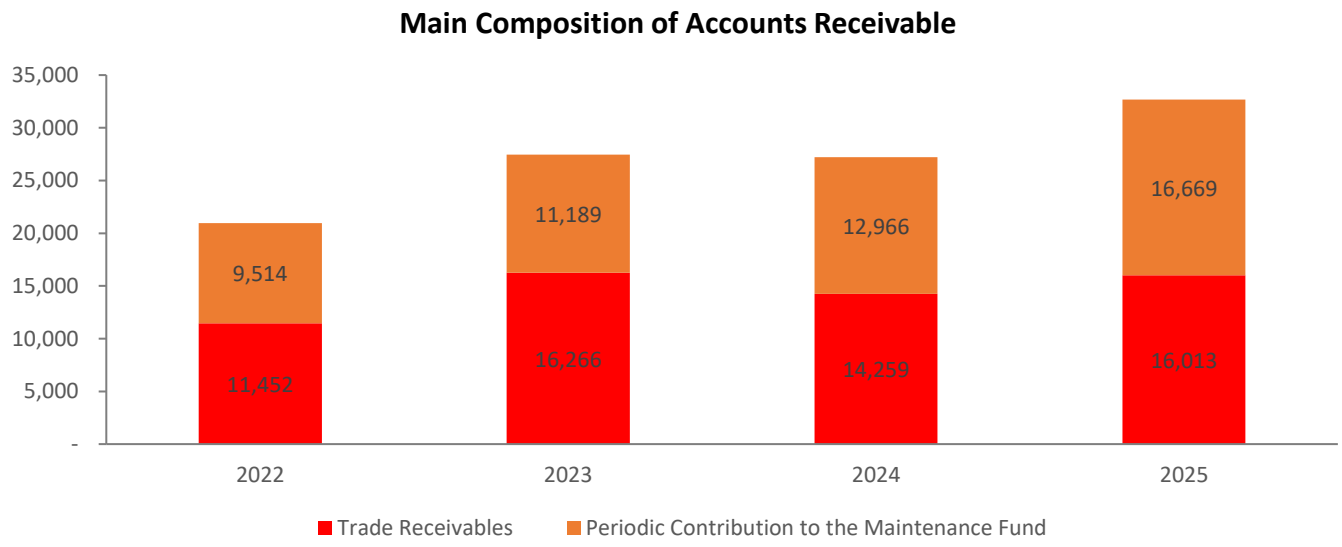
Other receivables and maintenance-related balances remain a cornerstone of VJC's asset base, averaging 28% of total assets during 2022–2025. The combined value of trade receivables and periodic maintenance contributions surged from VND 21 trillion in 2022 to nearly VND 33 trillion in 2025, tracking the airline's aggressive fleet and operational expansion.

Maintenance Funds

Periodic contributions to maintenance funds climbed steadily from VND 9.5 trillion to VND 16.7 trillion over the period. Driven by higher aircraft utilization and a larger leased fleet, these mandatory deposits cover future overhauls based on flight hours and cycles, with funds being reclaimed upon completion of major maintenance events.

Trade Receivables

Trade receivables (both short and long-term) remained elevated, ranging between VND 11.5–16.3 trillion. By 2025, these receivables totaled approximately VND 16.0 trillion, representing roughly 11.5% of total assets. This persistent high balance underscores VJC's working capital intensity and the scale of its operations. Looking ahead, the company faces continued funding pressure as it manages upcoming aircraft pre-delivery payments (PDP) alongside its ongoing fleet expansion.



Source: VJC

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